

FLUT pitch deck

No repo convention for stored decks found here (and a read of the wider signalos tree wasn't permitted), so the deck is delivered inline.

PITCH — FLUT — VERDICT

ADJUDICATED 2026-08-07 — DECLINE. No position at any size until (a) one federal appeals court rules on the merits of whether federal law overrides state gambling law, AND (b) the September–November state regulator files read clean for the states whose tax rates did not change; re-open the case below ~\$75 while that legal question is still open.

Both benches independently reached REJECT at 8/10 conviction. This is not a close call that got rounded down — it is a decline on a legal coin-flip stacked on a levered balance sheet, and the fact that we *like* the business analysis is exactly why the file needed to be written down.

What we believe

Flutter owns FanDuel, the largest sports betting business in the United States, plus a large international betting business (Paddy Power, Sky Bet, Sisal, PokerStars and others). The stock is \$99.71 as of the evidence pack (2026-08-21, our broker feed), against a 52-week high of \$309.32 — down 68%, and only 11% above its 52-week low of \$89.76. At adjudication two weeks ago it was ~\$93.65.

A collapse that size normally means one of two things: the market has panicked about a story that isn't true, or the business genuinely broke. We went in expecting the first and found the second.

1. The scary story is real but small. The story is that prediction exchanges — Kalshi, Polymarket, and now similar products from the betting companies themselves — let people bet on sports without a state gambling licence, without state gambling taxes, and at roughly a tenth of the price. That is a genuine competitive mechanism, not a fantasy: in June 2026 roughly 82–85% of Kalshi's activity was sports, and only about half a percent was politics. Polymarket's sports share went from 3% in 2024 to 58% in 2026. This is a sportsbook competitor wearing a financial-exchange licence.

But the size is single-digit. Three independent methods agree. The company says the effect is small and mostly *additional* betting rather than *stolen* betting. Eight states' monthly public betting reports imply the drag on the licensed market is about 1–1.5 percentage points of year-over-year growth. And reconciling exchange volume against licensed volume implies gross activity equal to 5–8% of the licensed market, of which roughly 70–80% is new demand rather than diverted demand. Different methods, same conclusion. **On this specific claim, the company is telling the truth.**

2. And that is precisely why this is not a bargain. If the scary story is small, then a 68% decline is not the market over-reacting to a story we can arbitrage. It is the market correctly pricing what is in the filings:

- FY25 profit guidance of \$3.295bn at the peak; delivered ~\$2.855bn. FY26 guided down twice more, to \$2.655bn — the most recent cut, on 2026-08-05, was \$210m and was entirely the US business, which was cut 21.6% in a single quarter.
- The international business — 83% of group profit — is running down 22% because the UK's tax on remote gaming went from 21% to 40% by statute on 1 April 2026. That's roughly a \$320m hit this year before mitigation, about a quarter of which management expects to offset.
- Debt has gone from 3.7x to 4.3x profit. The share buyback has effectively stopped.
- To hit even the reduced full-year guidance, the US business has to earn ~\$522m in Q4 alone — 69% of the entire year's US target, up 66% year over year — in a quarter where the NFL season starts a week late (about \$50m of profit) and \$270m of extra marketing spend lands.
- The CEO leaves 2026-09-30. The FanDuel CEO already left in May.

3. There is a live legal binary on top of all of it. Whether federal commodity law overrides state gambling law for these exchanges is genuinely unresolved. One appeals court gave Kalshi a narrow 2-1 win at a preliminary stage in April. The only *final* ruling on the merits went the other way — a Utah federal judge granted the state summary judgment on 2026-08-04. Three more appeals courts have heard argument and not ruled. A Supreme Court deadline in the New Jersey case falls 2026-09-03. A tribal-sovereignty claim from the Ho-Chunk Nation survived dismissal in May and reaches the same question by a different door.

At 10x enterprise value to guided profit and a 2.8% owner-earnings yield, we are not being paid enough to underwrite that coin-flip at 4.3x leverage. That is our whole thesis.

What the market believes

Roughly what we believe, which is the problem. The market has already moved past the exchange-competition story: on days when the federal regulator does something that legitimises prediction markets, *both* Flutter and DraftKings rally double digits (DraftKings +11.3% on one such day). If the market were trading Flutter on fear of Kalshi, that would be impossible. It is trading Flutter on the earnings collapse above.

Where the market sits on the legal question, it sits in the middle — which is defensible, because the middle is where the evidence is. This name is widely covered, heavily owned, and thoroughly discussed. We should assume the consensus view is informed.

Why we might have edge

Three things, and we should be honest that only the third is really an edge:

1. **We did the reconciliation nobody publishes.** The gap between “5–8% of the market is on exchanges” and “the licensed market only lost 1–1.5 points of growth” is not a contradiction — it is the finding. It means most exchange betting is *new*. Most commentary quotes one number or the other and reaches the wrong conclusion.
2. **We cohorted the state data by tax change.** Splitting states whose tax rates changed from states whose rates didn’t is what separates “technology is eating this business” from “legislatures are taxing this business.” The answer is mostly the second. Anyone reading national totals cannot see that.
3. **We have a free, decisive, dated test that runs before the next earnings report.** September–November state betting reports, on a clean NFL comparison, for the states where tax rates did *not* change (Michigan, Tennessee, Indiana, New York, Ohio). If those come in flat or better, the competitive drag is bounded and the case reopens on price alone. If they come in negative, the story is worse than the company says. Either way it costs nothing and it publishes before the November print.

The transferable lesson for our knowledge graph: *a company’s own volume number is evidence about the company, never about its market*. FanDuel reported handle up 2.2% while the market underneath it was down 3.9% — share gain masquerading as market health. DraftKings has now stopped disclosing betting volume separately at all, blending it with prediction volume into one “\$13.1B, +15%” line. Issuer volume metrics are degrading exactly where they are most load-bearing.

Why it might be priced in

Almost certainly it is. Every element of our bear case comes from public filings, public statutes, public court dockets, and free state regulator reports. Our information arrived *after* the price moved, not before — at every single step. The risk first appeared in both companies’ SEC filings in the week of 2025-08-07, which was the exact week the stock peaked, and the stock has tracked it down for a year since.

Against ourselves, the strongest bull argument is valuation arithmetic: if you value the international business at 9x profit and subtract \$10.48bn of net debt, the remaining FanDuel stub is around 13x its reduced earnings — not obviously expensive for the largest player in a structurally growing market. At more conservative international multiples, FanDuel is around 16x, which is. That range is the real disagreement, and it is not resolvable without knowing whether the earnings guide is now a floor.

Two more genuine points for the bull side that we concede outright:

- **Exchanges can’t kick out winners.** Kalshi can cap a user’s overall position but can’t refuse a specific bet from a sharp customer; a sportsbook can and does ban them. Over time that pulls the smartest customers *off* the books and leaves the books the profitable recreational pool. FanDuel’s structural margin rising 40bps is consistent with exactly this.
- **The parlay profit pool is not being destroyed.** FanDuel’s margin is going *up* on same-game-parlay adoption. The “exchanges destroy the high-margin product” version of the bear case is refuted.

What we checked ourselves

Including — deliberately — where our own benches got it wrong. The adjudication outranks both benches; where a bench contradicts it, the bench is the error.

Claim	How checked	Found	Confirmed?
Exchanges are substituting for licensed betting at scale	Eight-state monthly regulator reports, split by whether the state's tax rate changed	Strong version refuted; weak version real. Net drag ~1–1.5pp of growth	CONFIRMED (as small)
RED BENCH ERROR: first reported substitution “REFUTED” on FanDuel’s +2.2% volume	Re-pulled the independent state data	Read a company metric as a market metric — the market beneath was –3.9%. Self-corrected on the record	ERROR, corrected
Gross exchange volume 5–8% of licensed market vs 1–1.5pp net drag	Arithmetic reconciliation	Not a contradiction — implies 70–80% of exchange betting is <i>new</i> demand. This is the actual finding, not either number alone	Reasoning SUSTAINED; inputs PLAUSIBLE, not confirmed
OUR COVERAGE GAP: Kalshi’s contract mix (82–85% sports, 0.5% politics)	Attempted independent verification	No tool we own reaches venue-level contract mix. Reported as a gap rather than papered over	NOT independently confirmed
RED BENCH ERROR: the federal regulator’s June proposal (91 FR 35806) would ban the exchanges’ high-margin prop/micro-bet product	Read the proposal itself	It is a proposed <i>factors</i> framework, not a self-executing ban. Aggregate outcomes — including props framed as statistics — are treated as likely permissible; only contracts settling solely on a discrete action are disfavoured. “Micro-bets” never appears as a category	ERROR — mitigant weaker than filed
RED BENCH ERROR: states are converging on tax <i>parity</i> (Illinois 1.75%→3.5%, Kentucky)	Blue bench pulled North Carolina SL 2026-41 §44.9 / SB 257 (signed 7/7/26, effective 1/1/27)	The live template is legalize-and- <i>undercut</i> : 6% of net fees on prediction markets while raising the sportsbook tax 18%→23%, and codifying federal preemption. This is worse for Flutter than red’s version	ERROR — cuts further against the long
RED BENCH ERROR: “CME is suing the federal regulator” implies conflict inside Flutter’s own venture	Blue bench read the docket (D.D.C. 1:26-cv-02157, filed 6/18/26)	The suit concerns Kalshi’s bitcoin perpetual product and the swap definition — not event contracts. It shows CME is adverse to Kalshi, not that Flutter’s venture partner is conflicted against Flutter	Inference OVERSTATED; underlying “strategic thrash” stands
RED BENCH ERROR: “no appeal filed” from the Utah loss	Blue bench re-checked	Stale — Kalshi is reported heading to the 10th Circuit. The Utah judgment itself (Judge Shelby, 8/4, summary judgment for the state, case closed) is confirmed	CORRECTED
RED BENCH SLIP: federal regulator withdrawal dated 2026-	Cross-check	Same event — press release 9179-26 on the 4th, Federal Register publication (91 FR 5386) on the 6th. No substantive difference	Housekeeping only

Claim	How checked	Found	Confirmed?
02-04 vs the file's 2026-02-06			
Buyback stopped in June with \$3.628bn of \$5bn unused	Blue bench searched for the disclosure	A \$250m tranche from 3/12/26 is documented; "stopped in June / guided complete" could not be independently sourced	REDUCED to unverified detail
Price gap: Kalshi taker fee max 1.75% vs FanDuel's 14% structural margin	Fee schedules not pulled directly	Directionally sound but not primary-sourced. The <i>tax</i> half of the asymmetry is now confirmed by North Carolina statute	Fee leg PLAUSIBLE; tax leg CONFIRMED
The FY26 guidance cut, UK duty, leverage, Q4 hurdle, CEO change	Q2 release + statute	FY26 cut \$210m to \$2.655bn, all US — confirmed. NFL week delay — \$50m and \$270m promo step-up — confirmed. CEO out 9/30 (successor 10/1) — confirmed. UK duty 21%→40% eff. 4/1/26, ~\$320m pre-mitigation, ~27% mitigated — confirmed	CONFIRMED
Federal 0.25% betting excise doesn't apply to exchange contracts	Statute read (IRC §4401 / §4421(1) / §4402)	Rests on market practice, not on any IRS ruling or statutory exemption. Genuinely two-sided and unpriced both ways	UNVERIFIED-AS-SETTLED — which is the finding
Both companies first disclosed prediction markets on 2025-08-07	EDGAR full-text search not run this pass	Consistent across sources; the date matches the price peak exactly. Not load-bearing to the verdict	PLAUSIBLE, unconfirmed
Tape at adjudication	Broker feed + close	8/6 close \$93.15, range \$90.73–94.56, –7.1% on 8/5	CONFIRMED
OUR OWN PACK ERROR: the machine evidence pack's XBRL block	Read it	Revenue row is empty; share-based comp and operating cash flow stop at 2025-03-31; diluted shares at 2025-06-30. It is a year stale against the 10-Q filed 2026-08-05 and could not support the profit math. We used the Q2 release and statute instead — but the pack presents itself as "audited-filing values, use THESE," and here it would have misled	ERROR in our own instrumentation — fix before next use
OUR OWN PACK CAVEAT: the 2026-11-12 Q3 date	Read the pack's own flag	Vendor-derived, not confirmed by the company. Treat as approximate until investor relations names it	UNCONFIRMED
Is this ownable as fairly-paid risk?	Ran the audit	Fails independently of the legal question: the downside is neither bounded nor unlevered (4.3x debt, 2.8% owner-earnings yield). Not ownable carry	FAILS

Primary source for the current financial position: the Q2 2026 quarterly report filed with the SEC on 2026-08-05, accession 0001635327-26-000056 — <https://www.sec.gov/Archives/edgar/data/1635327/000163532726000056/>. The benches also worked from the Utah decision (<https://www.courthousenews.com/wp-content/uploads/2026/08/kalshi-utah-shelby-decision.pdf>) and the company's own Q2 release (<https://www.globenewswire.com/news-release/2026/08/05/3339154/0/en/flutter-entertainment-announces-q2-2026-financial-results.html>).

PROPOSED ENTRY BANDS

There is no entry. Size is zero at every price today. These are the re-open gates, taken verbatim from the adjudication — we do not get to invent our own:

- **any circuit merits ruling on preemption → re-court the OSB cohort**
- **OSB-HANDLE|2026-10-20 pack: tax-unchanged cohort $\geq$ 0% on NFL comps → drag bounded → re-court**
- **price $<$ ~\$75 with the binary unresolved → re-court on valuation**

Reading those in plain language, and how they sit against today's tape:

- **Legal gate.** Any of the three appeals courts that have already heard argument (9th, 4th, 6th) issuing a decision on the merits reopens the file immediately, in either direction. So does a Supreme Court action in the New Jersey case after 2026-09-03, or the 10th Circuit taking the Utah appeal.
- **Data gate.** The September–November state betting reports, read on a clean NFL comparison, for Michigan, Tennessee, Indiana, New York and Ohio — the states whose tax rates did not change. Flat or better means the competitive drag is bounded and we re-open on valuation. First readable file lands around 2026-10-20.
- **Price gate.** Below roughly \$75 with the legal question still open, we re-open on valuation alone. **The stock is \$99.71 today — about 25% above that band, and it has risen roughly 6% since adjudication.** The price gate is further away now than when the court closed, not closer. No creeping the band up to meet the tape.

No adds, no exits, no trims — there is nothing to add to or trim. Sizing: **0% of book**. Dated events to watch, none of which are entry triggers on their own: 2026-08-31 (Second Circuit briefing completes), 2026-09-03 (New Jersey Supreme Court deadline), 2026-09-30 (CEO departs, successor 10/1), ~2026-10-20 (September state reports), ~2026-11-12 (Q3 results, date unconfirmed), 2027-01-01 (North Carolina's prediction-market tax takes effect).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 75.0 (deck-provisional: Adjudication reopen gate #3: below ~\$75 with the preemption binary unresolved, re-court on valuation a)
- filing watch: 8-K until 2027-02-16 (deck-provisional: Fourth FY26 guidance cut, CEO handover 9/30, or a preemption ruling material enough to disclose; the i)
- dated pack FLUT|2026-11-12: Flutter Q3 (date vendor-derived ~mid-Nov, confirm from IR). NOT a position pack (prior 8/8 court: DECLINE on the preemption/tax binary, unch

- dated pack FLUT|2026-08-31: FLUT: Second Circuit briefing completes in the preemption litigation. (date confirmed=False)
- dated pack FLUT|2026-09-03: FLUT: New Jersey cert deadline — Supreme Court path opens on preemption. (date confirmed=False)
- dated pack FLUT|2026-09-30: FLUT: CEO departs; successor starts 10/1 (FanDuel CEO already separated 2026-05-05). (date confirmed=True)
- dated pack FLUT|2026-10-20: FLUT: OSB-HANDLE pack: September state regulator files, first clean NFL comp for the tax-unchanged cohort (MI/TN/IN/NY/OH) — reopen gate #2.
- dated pack FLUT|2027-01-01: FLUT: North Carolina SL 2026-41 §44.9 effective: 6% of net fees on prediction markets vs sportsbook GGR tax raised 18%->23%; entrenches the

What remains unverified

- **The legal question itself.** Unresolved and genuinely two-sided. We are not pricing it and will not.
- **Kalshi's contract mix and volume figures.** No tool we own reaches venue-level data. The 82–85% sports share and the 5–8% diversion estimate are plausible and mutually consistent, not confirmed.
- **The exact exchange fee schedules.** Not pulled from source.
- **Whether the buyback stopped in June** and how much of the authorization is unused.
- **The Q3 earnings date.** Vendor-derived; confirm from investor relations.
- **Whether a fourth guidance cut comes in November.** Arithmetically consistent with the Q4 hurdle; not separately verifiable.
- **The 2025-08-07 first-disclosure date.** Consistent across sources, EDGAR full-text search not run.
- **Our own evidence pack's XBRL block is stale by roughly a year** and its revenue row is empty. It did not affect this verdict because we worked from the filing and the release — but it would have, silently, on a name where we hadn't.

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